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Hyperscale Platforms and the Power to Shape Markets

Why Competitive Advantage Increasingly Depends on Who Defines the Rules of the Game

A strategic perspective for business and innovation leaders

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Executive Perspective

For decades, competitive strategy has largely focused on establishing and defending a favourable position within an existing market. Organisations analyse customers, competitors and industry structures, then develop differentiated offerings or improve operational efficiency. This approach assumes that the competitive environment already exists and that management must decide how to compete within it.

Digital platforms challenge that assumption. By connecting customers, suppliers, developers and complementary services through scalable infrastructures, platforms can change how markets operate. Some become sufficiently influential to shape access to customers, transaction mechanisms, technical standards, data flows and the distribution of economic value.

Competitive advantage may depend not only on how effectively an organisation competes within a market, but also on who has the power to shape that market's operating conditions.

Hyperscale business platforms offer a revealing perspective. Their strategic significance lies not simply in their size, but in combining scalable interactions, extensive participant networks and the capacity to extend into adjacent services and markets. For established organisations, this raises questions about competitive independence, governance, platform dependence and the opportunities to create new market contexts.

1. Recognising the Challenges

Established organisations usually formulate strategy within familiar market boundaries. Even diversification often assumes that the market already exists, although it may be new to the organisation. Ansoff's product-market framework remains useful for considering these growth directions, but entering an established market is fundamentally different from creating a new context of relationships and transactions.

Digital platforms have made this distinction increasingly relevant. Amazon, Alibaba, Apple, Alphabet and Tencent illustrate different ways in which digital infrastructures can connect participants and complementary services. Platforms can extend beyond conventional industry boundaries without replicating each industry's traditional operating structure. Their role in retail, payments, advertising, software distribution or services demonstrates the strategic importance of controlling interactions, not just supplying individual products.

For a manufacturer, the challenge may be that a marketplace increasingly controls customer visibility. For a service provider, the decisive interface may belong to another organisation. For a developer, the ability to reach customers may depend on a platform's technical and commercial rules.

An organisation may retain a competitive product while gradually losing influence over the context in which that product reaches its customers.

What makes a platform hyperscale?

Hyperscale is not a universally standardised business-strategy category. In this article, a hyperscale business platform means a digitally enabled architecture capable of coordinating very large numbers of interactions across participant groups while extending services and relationships through a highly scalable operating model.

Four characteristics matter: scalable interaction infrastructure; multi-sided participation; reinforcing value mechanisms, including network effects and data-enabled learning; and strategic extensibility into additional services, participant groups or markets. These characteristics do not automatically create market power. Scale, platform success and the ability to shape market conditions are related but distinct.

2. Understanding the Underlying Tensions

Accepting the market context versus creating a new context

Competing within established boundaries offers familiarity and a basis for market research. Creating a new context offers potentially greater strategic freedom but requires customers and complementary providers to adopt new behaviours. A platform cannot create a market merely by launching technology. Participation must become valuable and mutually reinforcing.

Product differentiation versus system-level advantage

Conventional competitive advantage depends on offerings, capabilities, brand and costs. Platform advantage can also emerge from the interactions among participants and complementary services. Network effects may reinforce value, but they are neither universal nor always positive. More participants can also create congestion, poor quality or intense supplier competition.

Customer value versus customer dependence

Integration, convenience and personalisation may create genuine customer value. They can also raise switching costs as users accumulate data, preferences and connected services. Staying because a platform is valuable is different from staying because alternatives are impractical. Both can affect competitive advantage, but their implications for customer autonomy differ.

Market access versus vendor dependence

Suppliers and service providers can benefit from platform reach, transactions and infrastructure. Yet dependence on rankings, fees, interfaces or data access can reduce their strategic freedom. A change in platform policy may materially affect their economics, even when their own offering remains competitive.

Ecosystem openness versus governance and value capture

Independent participants create much of a platform's value, while the owner may set access conditions, technical standards and transaction rules. Governance is needed for quality, safety and coherence, but it also shapes bargaining power and the distribution of benefits. Excessive control may discourage participation; insufficient coordination may undermine the platform's usefulness.

3. Why Conventional Approaches Are Not Always Enough

Industry boundaries may obscure the real competitive threat

Traditional industry analysis begins with recognised competitors. Yet platforms can extend into adjacent activities by combining existing user relationships with additional functions. Research on platform envelopment shows how such expansion can challenge firms that previously operated in separate markets. Management must therefore examine who can change how customers access and combine offerings.

Size does not explain platform power

A large business may benefit from purchasing power and operational economies of scale without coordinating a multi-sided market. A platform may derive additional advantages from network effects, complementors and

control over interactions. Neither size nor network effects guarantee lasting dominance. Management must identify the actual sources of advantage and the alternatives available to participants.

Technology deployment is not market creation

A platform may be technically operational without being commercially viable. Customers may wait for suppliers to join, while suppliers wait for customers. Solving this coordination problem requires a credible participation sequence, an attractive proposition for each group and governance that justifies continued investment. A network of bilateral partnerships alone is not necessarily a functioning platform ecosystem.

4. Rethinking the Management Approach

Shift 1: From competing within markets to understanding who shapes the context

Management should ask who determines customer access, controls transactions, establishes standards and influences information flows. These questions distinguish participants in a market from organisations capable of influencing its operating conditions. They reveal strategic dependencies that conventional competitor analysis may overlook.

Shift 2: From individual customer solutions to platform-based engagement

Building on the Delta Model, the InnoPlot perspective distinguishes three mechanisms in a logical development sequence. This is a conceptual sequence for understanding platform development, not a claim that every platform must follow an identical path.

Vendor Lock-in comes first: providers and partners gain market access and transaction infrastructure, and may become increasingly dependent on the platform. Customer Lock-in follows as the growing range of offerings and integrated services increases customer value and switching costs. Competition Lock-out may emerge later, when established relationships, data, network effects and scale create high barriers to a comparable competing experience.

The mechanisms are related, but their strength depends on the platform's proposition, participant behaviour, alternatives and governance. Lock-out should not be confused with an automatically desirable or inevitable outcome.

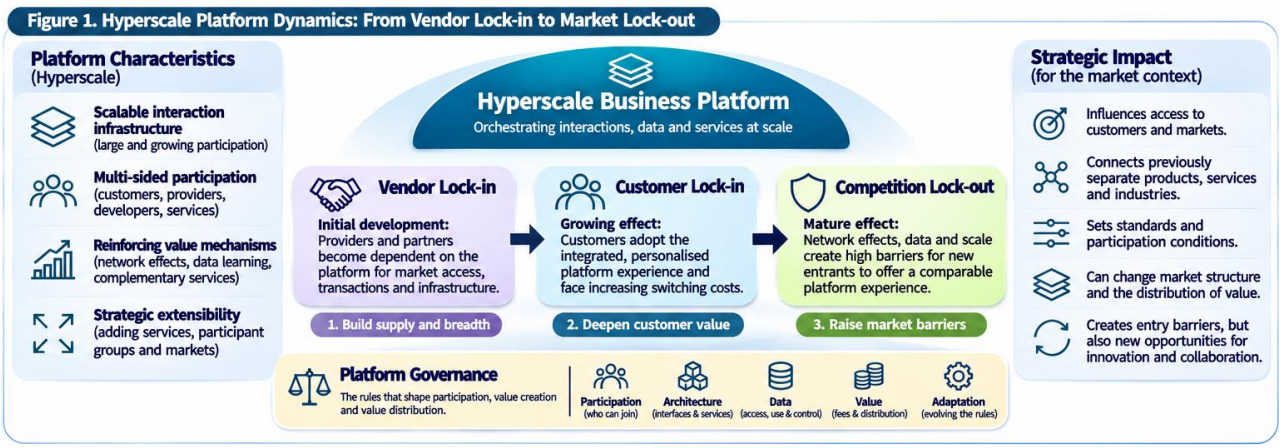


Figure 1. Hyperscale Platform Dynamics: from Vendor Lock-in through Customer Lock-in to Competition Lock-out. The sequence illustrates a strategic development logic, not an inevitable outcome.

Shift 3: From platform operations to strategic platform governance

Platform governance determines who may participate, which interfaces and standards are supported, who controls and accesses data, how fees and benefits are distributed, and how rules can adapt. These choices influence both the platform's attractiveness and the autonomy of its participants. Governance is therefore central to strategy, not merely an operational or legal afterthought.

A platform's ability to set rules is valuable only while sufficient participants continue to find those rules worth accepting. The challenge is to balance platform-wide coherence with the freedom and incentives required for independent actors to innovate.

The emerging influence of AI

Artificial intelligence adds a new dimension to the evolution of hyperscale platforms. Beyond improving personalisation, predictions and operational efficiency, AI increasingly enables platforms to interpret customer intentions, coordinate complex interactions and integrate services more intelligently. AI agents may gradually become intermediaries between customers, providers and platforms, potentially changing how products and services are discovered, compared and purchased. This creates opportunities for new forms of value creation, but also raises questions about who controls the AI interfaces, underlying data and customer relationships. AI could reinforce established platforms through their infrastructure, data and ecosystem advantages, while also enabling new entrants to challenge existing models. The strategic question is not simply how platforms will use AI, but how AI may change who has the power to shape market interactions.

Shift 4: From platform participation to managing strategic dependence

Joining an influential platform may provide access to customers and capabilities that would be costly to develop independently. Yet it may also transfer influence over customer relationships, data and transactions. Management should assess how dependent it is on these functions, how participation conditions could change and what alternatives remain. Responses may include direct customer relationships, multi-platform participation, differentiated capabilities or collaboration on alternative infrastructures.

Shift 5: From launching platforms to creating the conditions for a new context

Creating a market context is more demanding than deploying digital technology. It requires a compelling proposition for distinct participant groups, a credible route to initial participation, a platform architecture that supports complementary contributions and governance that earns trust. Reaching critical mass may help interactions become self-sustaining, but it does not guarantee success.

Context creation need not mean single-firm control. Shared infrastructures, industry consortia and jointly governed platforms may also establish new ways of organising market interactions. The ambition may be to influence the conditions of value creation rather than to dominate a new market.

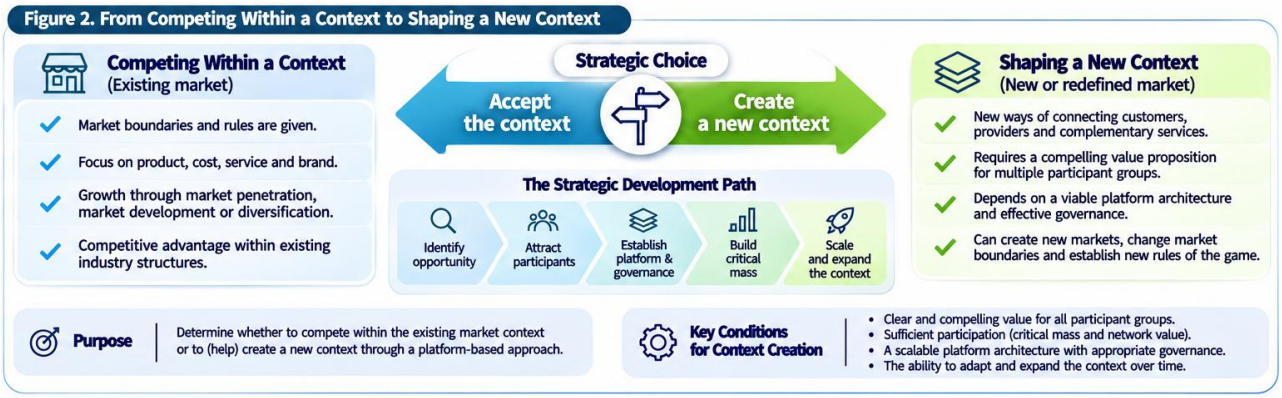


Figure 2. From Competing Within a Context to Shaping a New Context. The strategic choices are not mutually exclusive; organisations may combine market participation with collaborative context creation.

5. Implications for Management

Platform dynamics require established organisations to reconsider the boundaries of competition. A powerful intermediary outside the traditional industry may be better placed to influence customer access than a familiar product competitor. Management should assess strategic dependence explicitly, distinguish platform power from sheer scale and treat governance as a strategic concern for owners and participants alike.

Organisations should also distinguish launching a digital platform from creating a viable interaction system. The latter requires committed participants, complementary contributions, attractive incentives and governance that supports continuing value creation. Not every company should build a platform, but every leadership team should understand how platforms may change its strategic room for manoeuvre.

An illustrative management situation

Consider an industrial equipment manufacturer that has traditionally competed through engineering quality and a network of independent dealers. A digital service platform enters its market, combining equipment monitoring, maintenance scheduling, spare parts and access to service providers across several brands.

Initially, the manufacturer sees an additional service channel. Over time, however, the platform becomes the main customer interface. The manufacturer retains a strong product, while the platform owner gains influence over customer visibility, service transactions and information about equipment use.

The leadership team must choose whether to deepen participation, strengthen direct customer relationships, collaborate with dealers and other manufacturers on a shared platform, or develop a distinctive service proposition that reduces dependence. An alternative platform would not succeed merely because its governance is more balanced. Customers and providers would still need compelling reasons to join and remain active.

The challenge is not simply choosing a digital channel. It is deciding what role the organisation wants to play in shaping its future competitive context.

This is an illustrative scenario, not a documented company case.

6. Questions for the Leadership Team

Are we competing within an existing market context, or are other organisations increasingly determining the conditions under which our market operates?

Where are we becoming dependent on external platforms for customer access, commercial data, transactions or essential capabilities, and what alternatives do we retain?

How do platform governance, Vendor Lock-in, Customer Lock-in and Competition Lock-out influence the creation and distribution of value in our competitive environment?

Where could we realistically create or help shape a new market context, and what would persuade the necessary customers, partners and complementors to participate?

Closing Perspective

Hyperscale platforms show that competitive advantage can emerge from connecting participants, coordinating interactions and influencing the conditions under which value is created and exchanged. But platform scale does not automatically produce power, and governance can strengthen or weaken the willingness of others to participate.

Some organisations will benefit from platforms created by others. Some must protect their strategic independence. Others may help establish new contexts through distinctive capabilities and collaboration. The task for leadership is to understand these choices before its options are constrained by rules made elsewhere.

The strategic question is no longer only how to win within the existing rules of the game, but who is shaping those rules, why others accept them and whether a different game can be created.

Conceptual Foundations and References

This article combines the InnoPlot distinction between accepting and creating a market context with work on growth strategy, multi-sided platforms, network effects, ecosystem governance and platform envelopment. The Vendor Lock-in → Customer Lock-in → Competition Lock-out sequence is an InnoPlot interpretation inspired by the Delta Model, rather than a direct reproduction of that model. Hyperscale business platform is used as a strategic working definition rather than a standardised classification.

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